

In sum, the money in your 401(k), 403(b), or IRA plan is just a random number. Hopefully it's a big number, but by now you should know that it's not a pension. That part is up to you. So, don't let your fickle moods, fears, and phobias exert undue influence on the composition of your nest egg. Rather, use the unique nature and composition of your human capital to approach the management of your financial capital. Think and manage risk comprehensively, like the chief financial officer of You, Inc. Your future depends on it!

Endnotes

Benartzi and Thaler (2007) review the many biases that impact retirement saving behavior. They have collectively and individually conducted and reported on many experiments in behavioral finance and are two of my favorite authors and pioneers in this field. Belsky and Gilovich (1999) and Bazerman (1999) authored two great and readable books on the systematic mistakes we make with money. Finally, Swenson (2005) and Malkiel (2003) are references for the individuals who truly want to embark on this journey themselves, with low costs, low fees—and no one to blame if something goes wrong.